

Understanding Charitable Trusts in Kenya

Revised client guide • Trust Administration Act, 2026

Legal reference date: 24 September 2026 | Statutory commencement: 25 September 2026

1. What makes a trust charitable?

Section 8 describes a trust formed exclusively for relief of poverty, advancement of education, religion, human rights and fundamental freedoms, protection of the environment or another purpose beneficial to the general public. The Act addresses public benefit, including benefit to a section of the public, and charitable objects pursued in Kenya or elsewhere (s. 8). LexReg should capture objects and intended public-benefit group in the deed and programme records.

2. Parties and trustee composition

The settlor establishes the trust, trustees administer its property for its charitable purpose, beneficiaries may be a public class, and an optional enforcer may supervise implementation. A charitable trust requires at least THREE natural-person trustees OR ONE corporate trustee (s. 11(1)). Where natural persons serve, at least one must be a Kenyan citizen or resident as prescribed; assess all trustee and corporate-trustee eligibility under ss. 11 and 36.

3. A practical example

A donor settles funds to support educational scholarships for a defined public class. The deed identifies the charitable purpose, eligible beneficiaries, trustee decision rules, permissible expenditure, grants and treatment of remaining assets. Trustees keep the trust's money distinct from their own and maintain auditable grant and distribution records.

Legal framework and effective date

The Trust Administration Act, 2026 (No. 28 of 2026), assented to on 8 September 2026, commences on 25 September 2026. It replaces the Trustees (Perpetual Succession) Act and the Trustees Act on commencement (ss. 1, 99). This guide describes the enacted framework prospectively; procedures prescribed by future Regulations or Registrar directions must be checked before filing.

Registration is not incorporation

A written trust must be registered or incorporated; the Act also preserves court applications for recognition or enforcement of an unregistered written trust and certain trusts or fiduciary obligations arising under other laws or equity (ss. 3–5). Registration results in an UNINCORPORATED trust, with a certificate bearing “Registered Trust”; it does not confer legal personality (ss. 24, 27). Incorporation creates a body corporate with perpetual succession and power to hold property, contract and litigate in its own name; its certificate bears “Incorporated Trust” (ss. 30–32). A registered trust may subsequently apply for incorporation (s. 33).

Trust deed: matters to address

Section 23 requires terms for creation and management; appointment/removal of trustees; trustees' agreement to act; type and purposes; identified property; initial trustees' names, addresses and roles; applicable trustee/enforcer acceptance and security terms; and beneficiaries identified by name or clear class description. The settlor or representative and trustees execute the deed, with witness attestation and prescribed witness

particulars. LexReg should capture the deed as a document AND its operative rules as structured fields.

Application and supporting records

For registration, section 22 requires a deed, prescribed fee, beneficial-owner register, statement of initial property, initial enforcer statement and acceptance if applicable, court order if applicable, and further prescribed materials. The application records trust type, establishment date, purpose, settlor, beneficiaries, trustees, enforcers, beneficial owners and registered address or qualifying agent address. For incorporation, sections 28–29 additionally provide for name reservation and the specified incorporation particulars and attachments. Do not treat any proposed LexReg form or screen as an officially prescribed BRS form until verified.

Trustees and eligibility

A natural-person trustee must be over 18 and satisfy the statutory eligibility rules. Section 36 lists disqualifications, including specified professional disqualifications, certain convictions, bankruptcy and other grounds. A corporate trustee has separate statutory qualification requirements and must have a resident Kenyan natural-person contact person (s. 36). Where trustees are natural persons, at least one must be a Kenyan citizen or resident of Kenya, as prescribed in Regulations (s. 11(3)).

Settlor, beneficiaries and enforcer

A settlor may also be trustee, enforcer or beneficiary but cannot be the sole beneficiary of their own trust (s. 12(3)). Settlor powers may be reserved subject to the deed and law, including amendment, distributions, property decisions and appointments (s. 13); these powers do not automatically make the settlor a trustee. Beneficiaries may be named or ascertainable by class or relationship (ss. 19–21). An enforcer is optional subject to the deed; an enforcer who is also trustee may not perform the enforcer functions listed in section 15(1). Enforcer appointment and cessation notices generally have 21-day filing triggers (ss. 14, 17).

Fiduciary governance and property

Trustees must exercise reasonable care, skill and diligence, act within the deed and law, avoid conflicts, treat beneficiaries impartially where relevant, and preserve and segregate trust property (ss. 43–48). Trustees act jointly in accordance with the deed; where decision-making or amendment procedures are missing, court guidance may be necessary (s. 44). LexReg should record decision rules, approvals, delegations, conflict declarations, resolutions, title documents, investments and distributions rather than assume a generic majority-vote rule.

Registers, accounts and beneficial ownership

Sections 63–64 require specified trust records and accounting records, with minimum seven-year retention. Every trust must compile and keep a beneficial-owner register and lodge a copy with the Registrar (ss. 65–66). Beneficial-owner changes must be lodged within 21 days after the change (s. 67); records of a person who ceases to be a beneficial owner are retained for at least seven years (s. 68). Beneficial ownership concerns natural persons with ultimate ownership or control; the final prescribed particulars await applicable Regulations (s. 2 and s. 65). A trust is not a company: do not apply company share-percentage tests to trust beneficial ownership.

Annual returns and change notifications

Annual returns are due within 30 days of the anniversary of registration or incorporation under this Act (s. 75). Trustee appointments, replacements, resignations and removals have event-specific 21-day Registrar notices under ss. 37–41. An agent appointed to lodge statutory documents or provide an address or keep records also triggers notification within 21 days of appointment (s. 76). Each workflow should calculate its own deadline from the correct event date and preserve evidence of filing.

Existing trusts: transitional review

Section 99(2) recognises existing trusts incorporated under the repealed legislation or created by registration of a deed under the Registration of Documents Act. Existing trusts must comply within 24 months after commencement, or such time as the Registrar directs. Section 66(2) separately gives trusts incorporated before commencement 24 months to lodge the beneficial-owner register, with possible Registrar extension under s. 66(3). A provisional 25 September 2028 milestone follows from the scheduled commencement, but LexReg must permit Registrar directions and extensions and must not assume every transitional obligation has the same scope.

Tax, licences and regulatory overlap

Registration or incorporation under the Act is not itself a tax exemption or sector licence. Tax, charitable/public-benefit status, employment, land transfer, data protection, anti-money-laundering and donor obligations require separate fact-specific checks. The Act itself requires compliance with the Data Protection Act (s. 91).

Source and implementation status

Primary source: user-supplied Kenya Gazette Supplement No. 223, Trust Administration Act, 2026 (No. 28), dated 11 September 2026. Statutory section references appear throughout. Registry forms, prescribed data fields, fees, electronic steps and subordinate legislation are intentionally not invented; confirm current Registrar/BRS instructions before live deployment.

Charitable purpose and financial safeguards

- Capture the exclusive charitable objects and public-benefit class under s. 8; check proposed activities against the deed.
- Track restricted donations, grant conditions, budgets, programme approvals, beneficiaries and distributions.
- Apply statutory property segregation, preservation and accounting duties (ss. 43–48, 63–64).
- Record related-party transactions, conflicts, trustee remuneration and approval basis; do not assume trustees may personally profit.
- At dissolution, review the deed, remaining obligations and the statutory dissolution procedure before applying remaining property (Part XIII).

Public-benefit and other regulatory status

A charitable trust is not automatically tax-exempt or registered as a public benefit organisation merely because its purpose is charitable. Assess applicable PBO, tax, fundraising, education, health, employment, data protection and donor conditions separately. Section 95 provides a process for certain charitable trusts to seek exemption from provisions of this Act; this is not an automatic blanket exemption and must not be confused with tax exemption.

LexReg charitable trust onboarding

- Confirm charitable objects, public-benefit class and whether the trust is new or existing.
- Validate three natural-person trustees or one qualifying corporate trustee; verify local trustee/contact requirements as applicable.
- Capture settlor, trustee, enforcer and trust-agent roles through reusable person/corporate profiles.
- Choose registration or incorporation; record legal personality and ownership/vesting consequences.
- Validate deed, initial property, BO register, trustee acceptances, relevant enforcer acceptance and filing pack.
- Activate grant/donor, asset, programme, trustee, BO, finance, annual-return and event-filing workflows.
- Run conditional PBO/tax/sector compliance checks; record supporting decisions and evidence.

Client note: prescribed registry forms, current fees, the precise scope of any exemption and other regulator requirements must be checked before action.